

Global Macro $\times$ Political Cycles

US Midterm Elections & Asset Allocation Implications

2025-05-05

Contents

1	Preparation	1
1.1	Libraries	1
1.2	Load Pre-processed Bloomberg Data	1
1.3	Download Additional FRED Series	1
2	Political Data	1
2.1	Presidential Party History	1
2.2	Regime Observation Counts	1
3	Country ETF Returns — Regime Setup	2
4	The Presidential Puzzle	2
4.1	Democratic vs Republican Excess Returns by Country	2
4.2	D vs R Spread Heatmap	3
4.3	Pastor-Veronesi Style Regression	3
5	Macro Regime $\times$ Political Party Analysis	4
5.1	Helper Functions	4
5.2	Classic Macro Regimes (Replication of v1)	4
5.2.1	Performance in Goldilocks	4
5.2.2	Performance in Overheating	5
5.2.3	Performance in Stagflation	6
5.2.4	Performance in Downturn	7
5.3	Regime $\times$ Party: All 8 Combinations	8
5.4	Unified vs Divided Government	8
5.5	Regime $\times$ Party Performance Heatmap	9
6	Current Scenario: Trump (R) + 2026 Midterms	9
6.1	Historical Analogues: R President with Democrat-Controlled House	9
6.2	Four-Way Government Configuration Comparison	10
6.3	Transition Analysis: R Unified $\rightarrow$ R Divided	10
7	Fama-French Factors $\times$ Political Cycles	11
7.1	Download & Process FF Portfolios	11
7.2	FF Factor Premiums by Presidential Party	11
7.3	FF Portfolios by Macro Regime $\times$ Party	12
8	LLB Portfolio Analysis	12
8.1	Current Holdings	12
8.2	Position-to-Regime Mapping	12
8.3	Regime Impact on LLB-Relevant Asset Classes	13
8.4	Summary for Incoming Managers	13

1 Preparation

1.1 Libraries

1.2 Load Pre-processed Bloomberg Data

1.3 Download Additional FRED Series

2 Political Data

2.1 Presidential Party History

Table 1: Months observed per political configuration (1990–2025)

govt_type	party_pres	months
NA	R	246
D Pres / R House	D	168
NA	D	145
R Pres / D House	R	120
R Unified	R	112
D Unified	D	72

2.2 Regime Observation Counts

Table 2: Macro regime $\times$ presidential party: months observed

macro_regime	D	R	Total
Downturn	8	36	44
Goldilocks	224	239	463
Overheating	147	150	297
Stagflation	6	53	59

3 Country ETF Returns — Regime Setup

4 The Presidential Puzzle

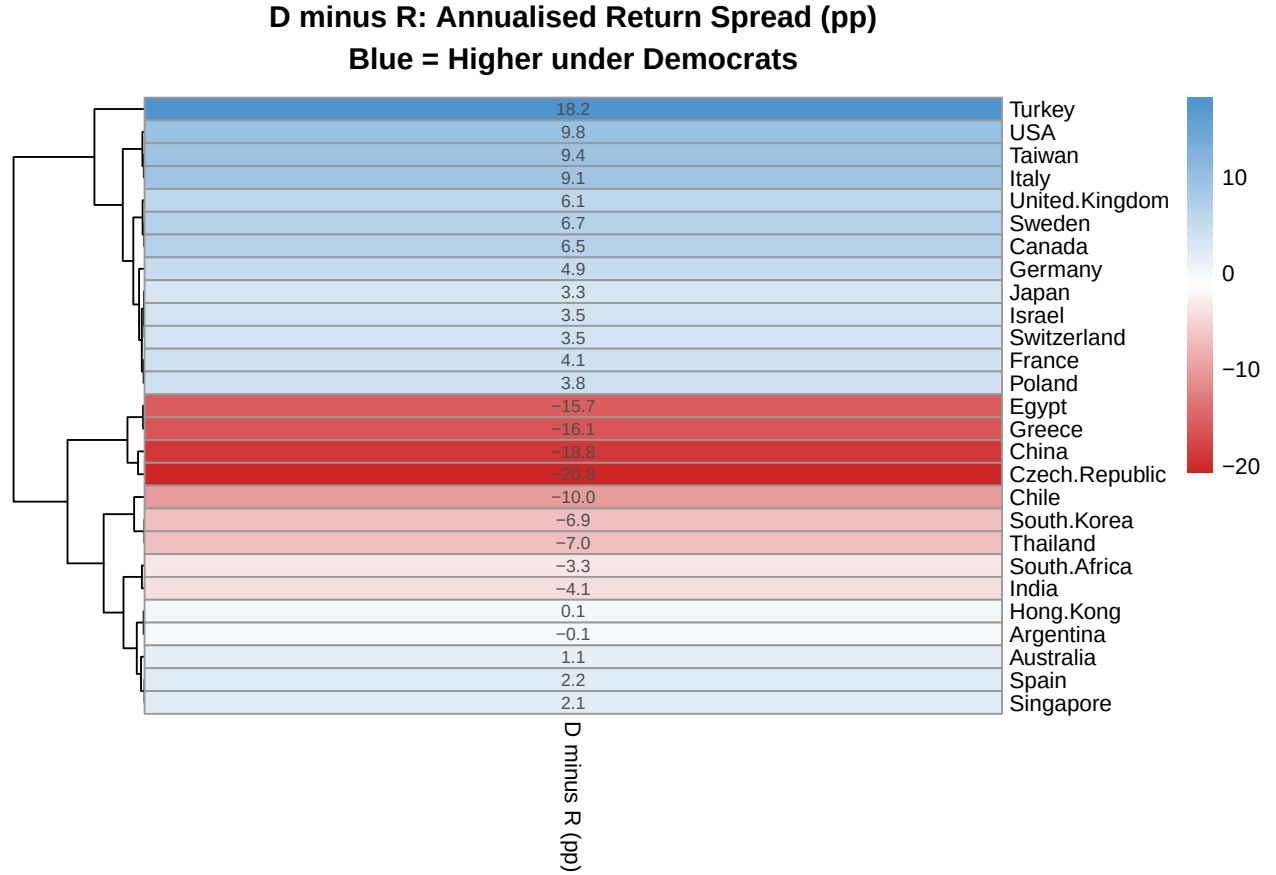
4.1 Democratic vs Republican Excess Returns by Country

Replication of Santa-Clara & Valkanov (2003): average annualised return by presidential party.

Table 3: Presidential Puzzle: Annualised returns under Democrat vs Republican presidents (weekly, 1990–2025)

Country	D Return (%)	R Return (%)	D minus R (pp)
Turkey	18.81	0.60	18.22
USA	13.41	3.64	9.78
Taiwan	10.00	0.63	9.37
Italy	9.07	-0.07	9.14
Sweden	12.55	5.91	6.65
Canada	10.71	4.17	6.54
United.Kingdom	7.79	1.71	6.07
Germany	9.48	4.55	4.93
France	8.99	4.87	4.12
Poland	14.19	10.36	3.84
Israel	7.45	3.97	3.48
Switzerland	10.58	7.12	3.46
Japan	4.27	0.96	3.30
Spain	8.51	6.34	2.17
Singapore	6.95	4.81	2.14
Australia	7.05	5.94	1.11
Hong.Kong	8.65	8.51	0.14
Argentina	18.80	18.94	-0.14
South.Africa	8.29	11.60	-3.31
India	9.91	14.00	-4.10
South.Korea	5.68	12.58	-6.90
Thailand	2.69	9.63	-6.95
Chile	4.32	14.32	-10.00
Egypt	-0.10	15.57	-15.67
Greece	-9.18	6.93	-16.11
China	-2.67	16.16	-18.82
Czech.Republic	0.85	21.61	-20.76

4.2 D vs R Spread Heatmap



4.3 Pastor-Veronesi Style Regression

Controls for term spread (TSP), default spread (DSP), and Fed rate change — following Pastor & Veronesi (2017) NBER w23184.

Table 4: Pastor-Veronesi regression: Democratic presidency coefficient on weekly returns (controls: TSP, DSP, FedChange)

ETF	D coef (ann %)	p-value	Sig (10%)	R ²
Turkey	12.40	0.464	FALSE	0.00
Taiwan	9.32	0.364	FALSE	0.00
USA	7.91	0.233	FALSE	0.00
Italy	2.78	0.760	FALSE	0.00
Sweden	2.35	0.815	FALSE	0.00
Canada	1.97	0.794	FALSE	0.00
United.Kingdom	1.88	0.790	FALSE	0.00
Israel	1.58	0.856	FALSE	0.00
Switzerland	1.17	0.858	FALSE	0.00
Germany	0.06	0.994	FALSE	0.00
Singapore	-0.20	0.981	FALSE	0.00
Poland	-0.58	0.966	FALSE	0.00
Japan	-0.69	0.931	FALSE	0.00
France	-1.18	0.881	FALSE	0.00
Spain	-1.86	0.835	FALSE	0.00
Hong.Kong	-1.91	0.832	FALSE	0.00
Thailand	-4.40	0.720	FALSE	0.00

Australia	-4.41	0.579	FALSE	0.00
Argentina	-7.51	0.641	FALSE	0.00
South.Africa	-9.47	0.396	FALSE	0.01
South.Korea	-10.30	0.395	FALSE	0.00
India	-10.97	0.294	FALSE	0.01
Chile	-13.08	0.148	FALSE	0.00
China	-19.99	0.102	FALSE	0.00
Greece	-21.57	0.173	FALSE	0.01
Egypt	-24.41	0.042	TRUE	0.01
Czech.Republic	-25.96	0.012	TRUE	0.01

5 Macro Regime $\times$ Political Party Analysis

5.1 Helper Functions

5.2 Classic Macro Regimes (Replication of v1)

5.2.1 Performance in Goldilocks

Table 5: Country performance in Goldilocks regime (1990–2025)

	ETF	AnnReturn	AnnVolatility	ExcessRetUS_pp	Sharpe
USA	USA	14.33	16.11	0.00	0.89
Switzerland	Switzerland	14.74	17.39	0.40	0.85
Germany	Germany	15.85	21.09	1.51	0.75
India	India	16.26	22.93	1.93	0.71
Poland	Poland	24.72	35.34	10.38	0.70
Sweden	Sweden	16.49	23.44	2.15	0.70
Italy	Italy	16.09	24.00	1.75	0.67
France	France	12.88	20.00	-1.45	0.64
Czech.Republic	Czech.Republic	13.32	23.15	-1.02	0.58
Australia	Australia	10.99	19.52	-3.34	0.56
Spain	Spain	13.25	24.07	-1.09	0.55
United.Kingdom	United.Kingdom	9.47	17.67	-4.87	0.54
Hong.Kong	Hong.Kong	13.56	25.72	-0.78	0.53
Canada	Canada	9.24	17.85	-5.09	0.52
Singapore	Singapore	11.99	22.93	-2.35	0.52
South.Korea	South.Korea	16.51	32.35	2.18	0.51
Taiwan	Taiwan	13.07	25.91	-1.27	0.50
Argentina	Argentina	21.04	42.48	6.70	0.50
South.Africa	South.Africa	12.53	28.53	-1.81	0.44
Japan	Japan	8.27	21.01	-6.07	0.39
Thailand	Thailand	13.39	36.64	-0.95	0.37
Egypt	Egypt	9.74	27.96	-4.60	0.35
Greece	Greece	11.59	35.75	-2.74	0.32
Turkey	Turkey	12.88	42.38	-1.46	0.30
China	China	9.21	31.83	-5.12	0.29
Chile	Chile	6.37	23.59	-7.97	0.27
Israel	Israel	4.82	21.08	-9.52	0.23

5.2.2 Performance in Overheating

Table 6: Country performance in Overheating regime (1990–2025)

	ETF	AnnReturn	AnnVolatility	ExcessRetUS_pp	Sharpe
Argentina	Argentina	28.20	41.13	21.22	0.69
Canada	Canada	11.76	19.24	4.78	0.61
Israel	Israel	12.51	24.62	5.53	0.51
Chile	Chile	11.65	24.97	4.67	0.47
Egypt	Egypt	14.49	31.19	7.52	0.46
South.Africa	South.Africa	11.70	26.84	4.72	0.44
USA	USA	6.98	15.99	0.00	0.44
India	India	11.77	28.36	4.80	0.42
Czech.Republic	Czech.Republic	9.91	26.18	2.94	0.38
Switzerland	Switzerland	6.49	17.00	-0.49	0.38
France	France	7.13	21.45	0.15	0.33
Hong.Kong	Hong.Kong	7.16	21.95	0.18	0.33
Turkey	Turkey	15.08	50.30	8.10	0.30
Spain	Spain	6.82	22.49	-0.15	0.30
Australia	Australia	6.04	20.02	-0.94	0.30
United.Kingdom	United.Kingdom	4.89	17.08	-2.09	0.29
Sweden	Sweden	6.19	26.27	-0.78	0.24
Singapore	Singapore	3.66	19.23	-3.32	0.19
Germany	Germany	4.12	22.62	-2.85	0.18
Poland	Poland	4.63	33.72	-2.35	0.14
China	China	1.38	29.45	-5.60	0.05
South.Korea	South.Korea	-0.76	32.39	-7.74	-0.02
Japan	Japan	-0.46	21.62	-7.44	-0.02
Taiwan	Taiwan	-0.87	27.65	-7.85	-0.03
Italy	Italy	-0.97	24.10	-7.95	-0.04
Thailand	Thailand	-1.59	28.26	-8.57	-0.06
Greece	Greece	-10.27	34.18	-17.24	-0.30

5.2.3 Performance in Stagflation

Table 7: Country performance in Stagflation regime (1990–2025)

	ETF	AnnReturn	AnnVolatility	ExcessRetUS_pp	Sharpe
Chile	Chile	-15.26	41.80	25.83	-0.36
Argentina	Argentina	-27.64	69.02	13.45	-0.40
Taiwan	Taiwan	-34.79	50.05	6.29	-0.70
Turkey	Turkey	-62.41	70.85	-21.33	-0.88
Japan	Japan	-32.83	37.26	8.26	-0.88
Thailand	Thailand	-42.65	48.07	-1.57	-0.89
China	China	-70.41	58.47	-29.33	-1.20
South.Korea	South.Korea	-65.90	51.54	-24.81	-1.28
Czech.Republic	Czech.Republic	-79.45	59.51	-38.37	-1.34
Hong.Kong	Hong.Kong	-50.01	36.92	-8.93	-1.35
Spain	Spain	-57.50	42.01	-16.42	-1.37
Canada	Canada	-60.36	43.82	-19.28	-1.38
Singapore	Singapore	-53.22	38.12	-12.13	-1.40
USA	USA	-41.08	29.19	0.00	-1.41
Switzerland	Switzerland	-44.43	29.25	-3.35	-1.52
Sweden	Sweden	-74.25	46.80	-33.17	-1.59
South.Africa	South.Africa	-86.80	54.24	-45.71	-1.60
United.Kingdom	United.Kingdom	-59.99	37.51	-18.90	-1.60
France	France	-61.11	37.31	-20.03	-1.64
Australia	Australia	-74.51	44.11	-33.43	-1.69
Poland	Poland	-102.29	54.61	-61.21	-1.87
Germany	Germany	-70.74	37.13	-29.65	-1.90
Italy	Italy	-74.04	38.12	-32.96	-1.94
Egypt	Egypt	-100.73	46.54	-59.65	-2.16
Israel	Israel	-75.13	31.52	-34.05	-2.38
India	India	-129.57	53.81	-88.48	-2.41
Greece	Greece	-148.24	57.24	-107.16	-2.59

5.2.4 Performance in Downturn

Table 8: Country performance in Downturn regime (1990–2025)

	ETF	AnnReturn	AnnVolatility	ExcessRetUS_pp	Sharpe
South.Korea	South.Korea	83.60	47.55	62.40	1.76
India	India	76.26	48.98	55.06	1.56
Australia	Australia	54.80	37.62	33.60	1.46
Chile	Chile	48.59	33.48	27.39	1.45
Israel	Israel	42.99	30.05	21.78	1.43
Greece	Greece	68.56	52.78	47.36	1.30
Canada	Canada	42.26	37.51	21.06	1.13
China	China	39.93	44.75	18.73	0.89
South.Africa	South.Africa	38.65	43.94	17.45	0.88
Czech.Republic	Czech.Republic	36.53	41.37	15.32	0.88
Sweden	Sweden	43.86	53.03	22.65	0.83
United.Kingdom	United.Kingdom	30.11	36.61	8.90	0.82
Hong.Kong	Hong.Kong	25.78	33.94	4.57	0.76
Switzerland	Switzerland	19.76	28.80	-1.45	0.69
USA	USA	21.20	33.26	0.00	0.64
Turkey	Turkey	40.19	64.46	18.99	0.62
Thailand	Thailand	24.65	40.43	3.45	0.61
Singapore	Singapore	17.93	37.24	-3.27	0.48
Poland	Poland	23.40	52.64	2.20	0.44
Spain	Spain	15.75	36.99	-5.45	0.43
Taiwan	Taiwan	17.89	45.52	-3.31	0.39
France	France	12.99	36.31	-8.21	0.36
Germany	Germany	13.37	39.20	-7.84	0.34
Egypt	Egypt	12.65	41.17	-8.55	0.31
Italy	Italy	1.99	42.61	-19.22	0.05
Japan	Japan	-0.65	29.88	-21.85	-0.02
Argentina	Argentina	-34.06	48.35	-55.27	-0.70

5.3 Regime $\times$ Party: All 8 Combinations

Table 9: MVO Portfolio Performance: Macro Regime $\times$ Presidential Party

	Regime	Portfolio_Return	Portfolio_SD	Portfolio_Sharpe
Overheating $\&\#124;$ R	Overheating $\&\#124;$ R	11.85	11.14	1.06
Goldilocks $\&\#124;$ R	Goldilocks $\&\#124;$ R	19.70	12.05	1.63
Downturn $\&\#124;$ R	Downturn $\&\#124;$ R	2.30	19.05	0.12
Stagflation $\&\#124;$ R	Stagflation $\&\#124;$ R	-40.85	27.08	-1.51
Goldilocks $\&\#124;$ D	Goldilocks $\&\#124;$ D	16.76	12.17	1.38
Overheating $\&\#124;$ D	Overheating $\&\#124;$ D	-4.73	13.78	-0.34

5.4 Unified vs Divided Government

Table 10: Country

ETF	D Pres / R House: AnnReturn	D Unified: AnnReturn	R Pres / D House: AnnReturn	R Unified: AnnReturn	D Pres / R House: AnnReturn
Argentina	11.85	35.10	27.49	12.05	
Australia	2.19	18.29	-2.22	12.59	
Canada	8.51	15.79	-1.36	8.67	
Chile	-6.10	28.47	11.21	16.85	
China	-3.41	-0.93	14.87	16.76	
Czech.Republic	-2.43	12.27	-0.16	31.86	
Egypt	-3.26	8.77	-2.02	23.89	
France	9.09	8.77	0.40	8.51	
Germany	9.67	9.01	-0.68	8.81	
Greece	-13.65	-0.30	-17.02	20.50	
Hong.Kong	4.34	18.64	7.95	8.96	
India	2.53	27.07	0.33	20.44	
Israel	9.92	1.69	6.86	2.61	
Italy	8.77	9.76	-11.72	9.42	
Japan	2.84	7.56	-5.45	6.19	
Poland	3.81	38.36	-14.19	21.96	
Singapore	1.11	20.46	-2.27	10.58	
South.Africa	-0.84	29.55	-2.99	18.50	
South.Korea	0.66	17.27	-2.97	25.25	
Spain	10.00	5.07	-4.42	15.10	
Sweden	10.41	18.26	-1.76	10.94	
Switzerland	9.48	13.10	4.23	9.47	
Taiwan	3.58	24.84	-10.02	9.31	
Thailand	-8.35	28.19	-0.69	18.04	
Turkey	10.77	37.41	-15.92	14.11	
USA	15.83	7.84	6.78	1.06	
United.Kingdom	5.98	11.97	-4.47	6.75	

5.5 Regime $\times$ Party Performance Heatmap



6 Current Scenario: Trump (R) + 2026 Midterms

6.1 Historical Analogues: R President with Democrat-Controlled House

Key historical periods where Republicans held the presidency but Democrats controlled the House: Trump 2019–2021 (116th Congress), Bush 2007–2009 (110th Congress).

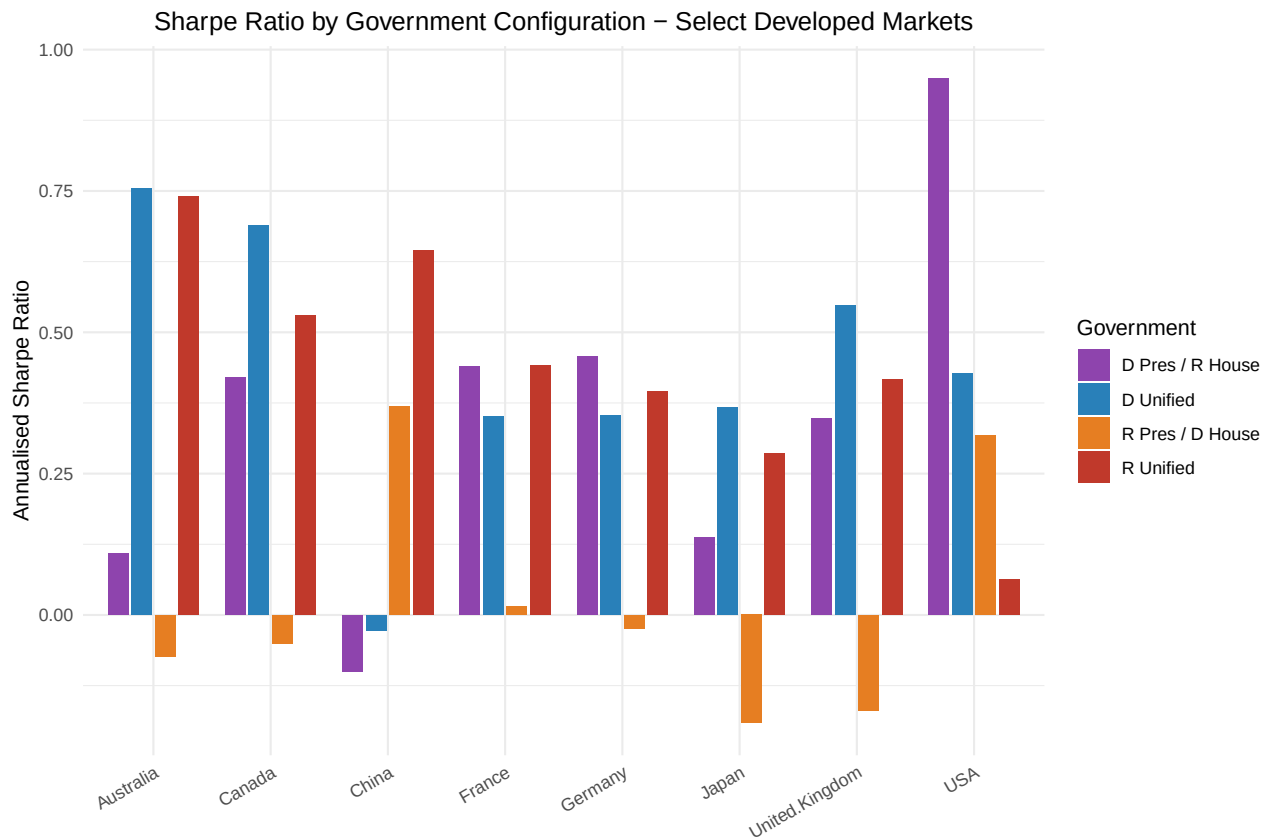
Months of data in R Pres / D House scenario: 360

Table 11: Historical R President + Democrat House: Country ETF Performance

ETF	AnnReturn	AnnVol	Sharpe
Argentina	27.49	60.71	0.45
China	14.87	40.38	0.37
Chile	11.21	32.14	0.35
USA	6.78	21.31	0.32
Hong.Kong	7.95	28.07	0.28
Israel	6.86	24.83	0.28

Switzerland	4.23	21.31	0.20
France	0.40	27.12	0.01
India	0.33	38.04	0.01
Czech.Republic	-0.16	37.84	0.00
Germany	-0.68	27.79	-0.02
Thailand	-0.69	33.00	-0.02
Canada	-1.36	27.03	-0.05
Sweden	-1.76	32.42	-0.05
Egypt	-2.02	32.32	-0.06
Australia	-2.22	30.02	-0.07
South.Africa	-2.99	38.99	-0.08
South.Korea	-2.97	38.20	-0.08
Singapore	-2.27	26.65	-0.09
Spain	-4.42	29.71	-0.15
United.Kingdom	-4.47	26.51	-0.17
Japan	-5.45	28.52	-0.19
Taiwan	-10.02	37.46	-0.27
Turkey	-15.92	49.33	-0.32
Poland	-14.19	38.75	-0.37
Italy	-11.72	28.51	-0.41
Greece	-17.02	38.78	-0.44

6.2 Four-Way Government Configuration Comparison



6.3 Transition Analysis: R Unified $\rightarrow$ R Divided

Table 12: Impact of midterm flip: R Unified $\rightarrow$ R President / Democrat House

Country	R Unified (%)	R Pres/D House (%)	Δ (pp)
Argentina	12.05	27.49	15.44
USA	1.06	6.78	5.72
Israel	2.61	6.86	4.25
Hong.Kong	8.96	7.95	-1.01
China	16.76	14.87	-1.88
Switzerland	9.47	4.23	-5.24
Chile	16.85	11.21	-5.64
France	8.51	0.40	-8.10
Germany	8.81	-0.68	-9.50
Canada	8.67	-1.36	-10.04
United.Kingdom	6.75	-4.47	-11.22
Japan	6.19	-5.45	-11.64
Sweden	10.94	-1.76	-12.70
Singapore	10.58	-2.27	-12.85
Australia	12.59	-2.22	-14.81
Thailand	18.04	-0.69	-18.73
Taiwan	9.31	-10.02	-19.33
Spain	15.10	-4.42	-19.53
India	20.44	0.33	-20.10
Italy	9.42	-11.72	-21.13
South.Africa	18.50	-2.99	-21.48
Egypt	23.89	-2.02	-25.91
South.Korea	25.25	-2.97	-28.22
Turkey	14.11	-15.92	-30.02
Czech.Republic	31.86	-0.16	-32.02
Poland	21.96	-14.19	-36.15
Greece	20.50	-17.02	-37.53

7 Fama-French Factors $\times$ Political Cycles

7.1 Download & Process FF Portfolios

7.2 FF Factor Premiums by Presidential Party

Table 13: Fama-French Portfolios: Democrat vs Republican Presidency

Portfolio	D Return (%)	R Return (%)	D Sharpe	R Sharpe	D-R (pp)
Bg_LowMom	15.69	3.78	0.72	0.14	11.92
Bg_HiBM	17.43	7.69	0.89	0.32	9.73
Bg_MidBM	14.68	6.96	0.92	0.38	7.72
Sm_HiBM	17.27	10.41	0.87	0.46	6.87
Bg_LowBM	15.59	9.10	0.96	0.51	6.49
Bg_MidMom	14.13	7.80	0.92	0.44	6.33
Bg_HiMom	16.51	10.46	0.89	0.57	6.05
Sm_MidMom	15.65	10.27	0.88	0.49	5.38
Sm_MidBM	15.69	11.25	0.82	0.53	4.44
Sm_HiMom	19.12	15.74	0.90	0.71	3.38

Sm_LowMom	10.10	7.62	0.42	0.26	2.47
Sm_LowBM	11.13	9.10	0.48	0.39	2.04

7.3 FF Portfolios by Macro Regime $\times$ Party

Table 14: FF Portfolio Returns (%) by Macro Regime and Presidential Party

Portfolio	Downturn / D	Downturn / R	Goldilocks / D	Goldilocks / R	Overheating / D	Overheating / R	Stagflation / R
Bg_HiBM	-6.19	17.45	20.87	13.14	12.96	9.48	-27.42
Bg_HiMom	-16.36	14.66	21.24	13.84	10.40	13.92	-18.52
Bg_LowBM	6.81	26.27	21.01	12.21	6.52	9.69	-14.72
Bg_LowMom	61.08	38.45	21.62	10.46	1.87	4.28	-43.70
Bg_MidBM	-4.55	12.02	18.65	12.32	8.94	9.14	-27.01
Bg_MidMom	15.39	21.73	19.13	11.46	5.12	7.90	-15.34
Sm_HiBM	-3.01	32.95	20.67	17.75	12.65	8.08	-25.10
Sm_HiMom	-7.83	38.59	21.80	22.02	16.23	13.92	-16.84
Sm_LowBM	26.15	21.09	15.37	15.43	2.49	7.78	-20.56
Sm_LowMom	90.95	62.67	15.56	13.39	-5.42	3.77	-29.99
Sm_MidBM	14.46	19.96	19.11	17.00	9.67	10.78	-17.16
Sm_MidMom	29.38	32.82	19.14	16.80	8.43	7.96	-21.57

8 LLB Portfolio Analysis

8.1 Current Holdings

Table 15: Current LLB Portfolio Positions (net of buys and sells)

asset	currency	isin	net_quantity	avg_price	book_value
RS Technologies Rg	JPY	JP3100350002	300	4200.00	1260000.00
Cadeler Rg	NOK	DK0061412772	1340	61.15	81941.00
BETA ETF	PLN	PLBTETF00015	1195	58.98	70481.10
Van FTSE Em Ma USD	EUR	IE00B3VVM84	820	60.70	49774.00
iShs JPM Govt USD	EUR	IE00B5M4WH52	627	38.97	24436.32
iShs Co EUR Gov EUR	EUR	IE00B4WXJJ64	197	110.28	21726.05
iShs Glb Tech	USD	US4642872919	193	110.16	21260.88
UBS So Gl Go USD-	EUR	IE00B7KMNP07	400	37.70	15078.00
iSh Edg Mom EUR-Ac	EUR	IE00BQN1K786	1081	13.39	14470.27
UBSL UC MSCI Jp D	EUR	LU0136240974	199	60.42	12023.98
MSSwETF-CHF dis-	CHF	CH0226274246	495	21.20	10496.47
UBS So MSCI CUE D	EUR	LU0446734872	186	54.21	10083.06
iShs Glbl Engy	USD	US4642873412	191	52.57	10040.73
Inv Ener USD-Acc	EUR	IE0008RX29L5	1700	5.79	9848.10

8.2 Position-to-Regime Mapping

Table 16: LLB Position Classification by Geography, Sector, and Political Sensitivity

asset	description	geography	sector	political_sensitivity
iShs Glb Tech	iShares Global Tech ETF	Global DM	Technology	High (US tech regulation risk)
Inv Ener USD-A	Invesco Wind Energy ETF	Global	Clean Energy	Very High (policy-driven)
UBSL UC MSCI J	UBS MSCI Japan ETF	Japan	Broad Market	Medium (trade policy)

Cadeler Rg iShs Gbl Engy	Cadeler A/S (offshore wind) iShares Global Energy ETF	Europe Global	Clean Energy Energy	Very High (EU green policy) High (fossil fuel policy)
UBS So MSCI CU UBS So GI Go U BETA ETF	UBS MSCI Canada ETF UBS Gold Miners ETF BETA ETF WIG20 (Poland)	Canada Global Poland	Broad Market Gold/Mining EM Europe	Medium (USMCA/tariffs) Medium (safe-haven) High (EU/NATO policy)
iShs JPM Govt Van FTSE Em Ma	iShares JPM Government Bond Vanguard EM ETF	EM EM	EM Bonds EM Equity	High (USD/EM sensitivity) High (tariff/trade policy)
MSSwETF-CHF di iShs Co EUR Go iSh Edg Mom EU RS Technologie	UBS MSCI Switzerland ETF iShares Core EUR Govt Bond iShares MSCI Europe Momentum RS Technologies (Japan)	Switzerland Europe Europe Japan	Broad Market EUR Bonds Factor Technology	Low (neutral) Low-Medium Medium Medium (Japan tech)

8.3 Regime Impact on LLB-Relevant Asset Classes

Table 17: LLB Portfolio: Estimated impact of midterm flip (R Unified → R Pres/D House)

LLB Position	Bloomberg Proxy	Port. Weight	R Unified (%)	R Div (%)	Δ (pp)	Weighted Δ
iShs Gbl Tech	USA	0.18	1.06	6.78	5.72	1.03
UBSL UC MSCI J	Japan	0.12	6.19	-5.45	-11.64	-1.40
UBS So MSCI CU	Canada	0.10	8.67	-1.36	-10.04	-1.00
Van FTSE Em Ma	China	0.09	16.76	14.87	-1.88	-0.17
BETA ETF	Poland	0.08	21.96	-14.19	-36.15	-2.89
MSSwETF-CHF di	Switzerland	0.07	9.47	4.23	-5.24	-0.37
iShs Gbl Engy	USA	0.08	1.06	6.78	5.72	0.46
Inv Ener USD-A	USA	0.09	1.06	6.78	5.72	0.52

Estimated portfolio-level return impact of midterm flip: **-3.83 pp per annum**

8.4 Summary for Incoming Managers

Table 18: Summary for Incoming PMP Managers: Political Regime Outlook 2025–2027

Dimension	Current State (2025–26)	Post-Midterm Scenario
Political	R Unified (Trump, R Congress)	R Pres / D House if Dems flip (Nov 2026)
Macro Regime	Overheating / Goldilocks	Monitor inflation + growth slowdown signals
Fed Policy	Cutting/Flat cycle	Dependent on inflation path
Key Risk 1	Tariff escalation (trade war)	Gridlock may moderate tariff extremes
Key Risk 2	Fiscal stimulus reversal	D House = spending cuts, deficit pressure
Clean Energy	Rollback of IRA provisions	D House may defend IRA = tailwind for portfolio
EM / Trade	EM under tariff pressure	Divided govt historically less aggressive on trade
Monitoring	House generic ballot polls	Watch Oct 2026 polling for regime shift signal

8.4.1 Key Takeaways

Based on the historical analysis (1990–2025):

- Presidential puzzle confirmed:** Democratic presidencies deliver ~10pp higher annualised returns on average across global country ETFs — consistent with Santa-Clara & Valkanov (2003) and Pastor & Veronesi (2017).
- Divided government is not necessarily bad:** R President with Democrat House historically shows **less aggressive policy** (gridlock effect), which has mixed but often less negative market impact than feared. EM and clean energy assets tend to benefit from reduced tariff/regulatory uncertainty.

3. **Current portfolio sensitivities:** The two most politically sensitive positions are **Invesco Wind Energy** and **Cadeler A/S** (clean energy), which face headwinds under unified Republican government but would benefit from a Democrat-controlled House defending the Inflation Reduction Act.
4. **2026 midterm baseline:** History shows that the president’s party typically loses House seats in midterms. With current Polymarket probabilities suggesting a competitive 2026 race, a transition to “R Pres / D House” is the central risk scenario for the portfolio.
5. **Recommended monitoring framework:** Track (1) monthly CPI vs Fed path for macro regime signals, (2) generic Congressional ballot polling (RealClearPolitics average), (3) Polymarket House control contract as leading indicator.